JOINT PROGRAMME PROPOSAL | SMME INTERVENTION

Agent Governance-in-a-Box

A POPIA-ready AI governance programme for South African SMMEs

Prepared for DFIs and Corporate ESD Units

Vaal Development Committee (VDC)

x

Shared Fractional C-Suite (SFC-Suite)

Sharpeville, Vereeniging | Sedibeng District, Gauteng, South Africa

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EXECUTIVE SUMMARY

Closing the gap between AI adoption and AI control

South African SMMEs are adopting AI faster than they are learning to govern it. Staff paste client data into free chatbots, connect automations to personal accounts and share API keys, usually with no one keeping track. For a funder, every one of those businesses is a portfolio exposure: a data breach, a POPIA complaint or a runaway automation can undo the value of the support already invested in the enterprise.

Agent Governance-in-a-Box is a practical, low-cost intervention that makes AI use visible, controlled and POPIA-ready. It is delivered as a structured service, not software, so SMMEs need no new platforms. The Vaal Development Committee (VDC) and Shared Fractional C-Suite (SFC-Suite) propose to deliver it jointly, with VDC convening the programme and SFC-Suite delivering it.

15	15	R290,250	R0.73
SMMEs in the pilot cohort	month programme, incl. 4 quarterly reviews	total funder investment (excl. VAT)	SMME co-investment for every R1 of subsidy

Our ask. We invite your DFI or ESD unit to fund a 15-SMME pilot cohort under a **subsidy plus co-payment** model. Funders carry the entry costs; SMMEs progressively take over the cost as value is proven, and graduate to self-funded quarterly governance.

What the funder receives

- **Portfolio de-risking:** a documented inventory of AI tools and agents, with data exposure and account ownership, for every participating SMME.
- **Compliance readiness:** a one-page POPIA Risk Checklist for each agent, covering lawful basis, privacy policy, Section 71 and Section 72 exposure.
- **Auditable outcomes:** a reporting pack each quarter with participation, control adoption and residual-risk indicators.
- **Leverage and sustainability:** SMME co-payment demonstrates ownership, stretches ESD budgets and builds a recurring, self-funded governance habit.

THE OPPORTUNITY

The gap is not awareness. It is execution.

52%	56%	15%	32%
of SA small businesses use AI weekly	are confused about how to apply it practically	of SA businesses have a formal AI governance policy	shadow AI usage in 2025, up from prior years

Statistics as cited in the programme research base; full source references will be appended to the funder submission.

Three forces make this an urgent intervention for SMME development funders:

- **Shadow AI is already inside your beneficiaries.** Tools and automations are in use without the owner's knowledge. Organisations with high shadow-AI use have faced breaches costing an average of US$670,000, a figure that would be fatal for an SMME.
- **POPIA is the legal backbone for AI.** The Information Regulator has been clear that organisations remain responsible for personal information in their possession, whether or not an AI system collected it.

- **Enterprise governance tools are out of reach.** Platform pricing of about US$15 per user per month for a standalone agent-management licence, and roughly US$99 for a full bundle, excludes almost every township and small-town SMME.

> Owners do not need another platform. They need someone to show them what is running, lock down what matters, and check back regularly. That is a service problem, and it is exactly the kind of problem a developmental intervention can solve.

THE INTERVENTION

Agent Governance-in-a-Box

The programme moves beyond abstract governance and delivers a deployable package that solves a specific, painful problem. It opens with a problem-first question at the owner's table: *"What AI tools are your staff using, and are they touching client data?"* The audit answers it.

PHASE 1
Agent Visibility Audit

Interview owner and key staff
Map every AI tool in use
Who uses it, what data it touches, which account
Output: Agent Inventory Register

PHASE 2
Minimum Viable Guardrails

Scoped credentials per agent
9-field activity log
Budget kill trigger
POPIA chatbot disclosure
Up to 5 priority agents

PHASE 3
Quarterly Governance Review

Re-check the inventory
Prune dormant agents
Rotate credentials
Update POPIA checklist
Trusted external check

The four governance pillars

1 Inventory
Know every agent

2 Permissions
Scoped credentials

3 Audit trail
9-field activity log

4 Kill switch
Budget trigger + owner

Control	What the SMME receives	Why it matters
Scoped credentials	Unique, limited-scope credentials for each priority agent, replacing shared or personal keys.	The single most effective technical control against misuse and leakage.
9-field activity log	Simple Notion or Google Sheets template: trigger, agent, data accessed, decision, action, risk, approval, actor, outcome.	Two-tier rule keeps it light: read actions get one line; write actions (send, change, pay) need a full entry before execution.
Budget kill trigger	Documented monthly spend limit per agent and a one-page procedure: who switches it off, when and how.	Caps financial loss from runaway or misconfigured automations.
POPIA chatbot disclosure	Pre-written plain-language snippet for any customer-facing AI, confirming it is AI and how to reach a human.	Removes a common, easily avoided compliance gap.

Everything lives in tools the SMME already uses. The inventory sits in Notion or Airtable, logs in Sheets, and credentials in the platforms already in place. The client keeps every artefact, so the value stays in the business long after the programme ends.

THE SOUTH AFRICAN DIFFERENTIATOR

POPIA is the backbone of the offer

We are not selling generic "agent governance". We are delivering **POPIA-compliant AI deployment for SMMEs**. Each agent in the inventory receives a one-page POPIA Risk Checklist. It is the artefact that converts a vague concern into a concrete compliance action.

Checklist question	Risk it surfaces
Does the agent process personal information?	Almost always yes. Triggers the full checklist.
Is there a lawful basis (consent, contract, legitimate interest)?	Processing without a documented basis.
Does the privacy policy cover AI processing?	Policies are often outdated and silent on AI.
Does the agent make or influence decisions with legal or significant effect?	Section 71 risk on automated decision-making.
Is customer data fed into an external AI platform?	Section 72 risk on transborder information transfers.

The checklist is a compliance-readiness tool, not a legal opinion. Complex findings are referred to the SMME's Information Officer or a registered attorney.

DELIVERY MODEL

One programme, two clear roles

	VDC: programme broker and convener	SFC-Suite: delivery partner
Focus	Community access, stakeholder governance, funder relationship and accountability.	Hands-on delivery of audits, guardrails, POPIA checklists and quarterly reviews.
Recruitment	Identifies and screens SMMEs through Vaal and Sedibeng networks and business chambers.	Confirms technical fit and scopes each SMME's priority agents.
Delivery	Coordinates cohort logistics, workshops and host-community linkages.	Runs Phase 1 to 3 with SMMEs, led by its fractional risk and operations capability.
Reporting	Consolidates quarterly funder reporting, outcome data and case stories.	Supplies control-adoption evidence and residual-risk indicators per SMME.
Accountability	Registered NPC (2025/215560/08) with programme-level oversight.	Responsible for quality, templates and hand-over to SMME owners.

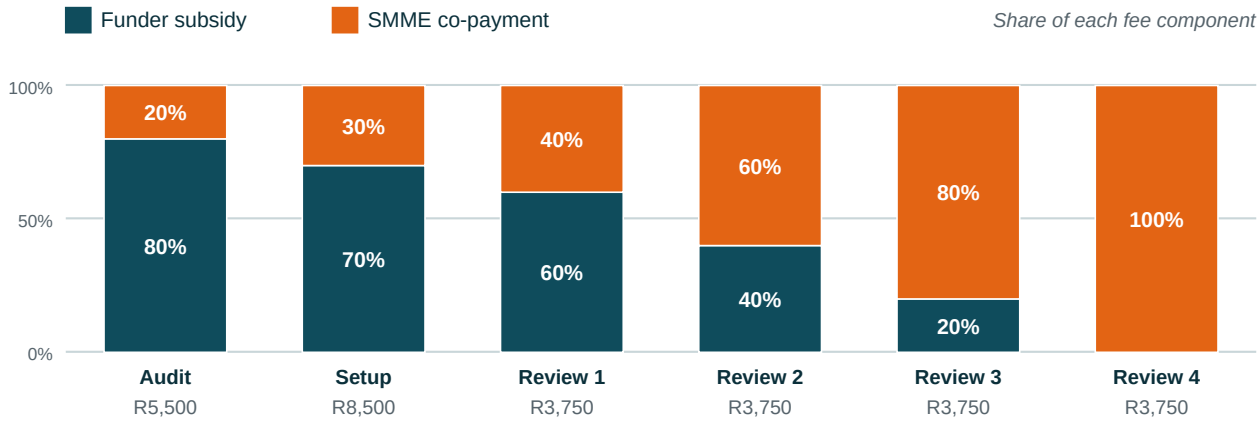
Programme timeline (15 months)

Months	Activity	Deliverable
1	Mobilise, select 15 SMMEs, sign participation and co-payment agreements, cohort launch workshop.	Signed cohort; baseline data
2 to 3	Phase 1: Agent Visibility Audits.	Agent Inventory Register per SMME
3 to 5	Phase 2: Guardrails setup for up to 5 priority agents per SMME; POPIA checklists issued.	Controls live; checklist per agent
6, 9, 12, 15	Phase 3: quarterly governance reviews; cohort learning workshop at month 9.	Review report; updated checklist
15	Close-out, graduation to self-funded reviews, final funder report.	Impact report and lessons

FUNDING MODEL

Funder subsidy, tapering into SMME co-payment

Fees are set at the mid-points of the market-tested SMME price ranges (audit R3,500 to R7,500; setup R5,000 to R12,000; quarterly review R2,500 to R5,000), because SMMEs will not pay enterprise governance prices. The funder's share **tapers** across the programme while the SMME's share rises, so each business builds ownership and reaches a self-funded position by the end.



Component (per SMME)	Fee	Funder	Funder R	SMME	SMME R
Phase 1: Agent Visibility Audit	R5,500	80%	R4,400	20%	R1,100
Phase 2: Guardrails Setup (up to 5 agents)	R8,500	70%	R5,950	30%	R2,550
Quarterly Review 1	R3,750	60%	R2,250	40%	R1,500
Quarterly Review 2	R3,750	40%	R1,500	60%	R2,250
Quarterly Review 3	R3,750	20%	R750	80%	R3,000
Quarterly Review 4 (graduation)	R3,750	0%	R0	100%	R3,750
Total per SMME	**R29,000**	**51%**	**R14,850**	**49%**	**R14,150**

Cohort budget: 15-SMME pilot (indicative, excl. VAT)

Line item	Basis	Amount
Subsidised SMME services	15 SMMEs x R14,850	R222,750
Programme management, selection and M&E reporting	VDC, per cohort	R45,000
Two cohort workshops (launch and month 9)	Venue, facilitation, materials	R22,500
Total funder investment	**R19,350 per SMME**	**R290,250**
SMME co-investment	15 SMMEs x R14,150	**R212,250**
Total programme value	Leverage: R0.73 per R1 of subsidy	**R502,500**

Scaling the cohort

Cohort size	Funder investment	Per SMME	SMME co-investment
10 SMMEs	R216,000	R21,600	R141,500
15 SMMEs (recommended pilot)	**R290,250**	**R19,350**	**R212,250**
20 SMMEs	R364,500	R18,225	R283,000

Programme overhead of R67,500 is held fixed, so the funder's cost per SMME falls as the cohort grows.

IMPACT AND VALUE

What DFIs and ESD units get for their investment

For DFI investment and credit teams	For corporate ESD units
Portfolio de-risking. Early visibility of AI-related operational, data and compliance exposure in funded or financed SMMEs.	**Measurable ESD outcomes.** Participation, control adoption and compliance-readiness data you can report to leadership and stakeholders.
Protecting prior investment. A low-cost control layer that reduces the chance a single incident erodes loan or grant value.	**Leverage.** SMME co-payment stretches your budget and signals genuine commitment from beneficiaries.
Quarterly assurance. A repeatable review cycle, similar to a quarterly VAT check, that confirms agents are safe and credentials are current.	**Local economic development.** Delivered in Vaal and Sedibeng, building skills and trust in a township and small-town economy.

ESD scorecard recognition of programme spend remains subject to the funder's own verification agency.

Proposed monitoring and evaluation framework

Indicator	Proposed target	Reported
SMMEs with a completed Agent Inventory Register	100%	Month 3
Agents with a POPIA Risk Checklist	100%	Month 5
Priority agents on scoped credentials	90% or more	Month 5
SMMEs using the activity log for write actions	80% or more	Months 6, 9, 12
Customer-facing AI carrying the POPIA disclosure	100%	Month 5
SMMEs with a documented kill-switch procedure and owner	100%	Month 5
SMMEs continuing to self-funded quarterly reviews	70% or more	Month 15

Targets are proposed for the pilot and will be confirmed with the funder during mobilisation.

RISK MANAGEMENT

Key risks and how we manage them

Risk	Mitigation
SMME uptake or co-payment affordability	Tapered subsidy, instalment payment options, upfront screening and participation agreements through VDC networks.
Confidentiality of client data seen during audits	Confidentiality agreements, minimum-access principle, no personal information copied into registers, POPIA-aligned operator terms.
Fast-changing AI tools	Tool-agnostic templates and quarterly reviews that keep the inventory current.
Advice scope and liability	Checklists framed as readiness tools; complex legal questions referred to attorneys or the SMME's Information Officer.
Dependency on the delivery partner	SMMEs own all artefacts; graduation plan and hand-over training built into Phase 3.
Stewardship of funder monies	Programme-level budget tracking by VDC, quarterly financial and outcome reporting, and funder access to programme records.

NEXT STEPS

From proposal to pilot

- **Discovery meeting** with your ESD or DFI team to align on beneficiary profile, geography and reporting needs.
- **Pilot scoping** and confirmation of cohort size, co-payment percentages and funding mechanism.
- **Agreement and mobilisation:** funding agreement, SMME selection and participation contracts.
- **Launch** of the 15-month programme, with the first audits running in month 2.

Why this partnership. VDC brings community trust, registered NPC governance and senior experience in SMME procurement advocacy and ESD programme architecture in Sedibeng. SFC-Suite brings a shared fractional executive model built to serve SMME cohorts. Together we offer funders one accountable, locally rooted programme with a clear price, clear roles and measurable results.

Vaal Development Committee (VDC), registered NPC 2025/215560/08, Sharpeville, Vereeniging, Sedibeng District, Gauteng.

All amounts are indicative, in South African Rand, exclude VAT and are subject to final scoping with the funder.